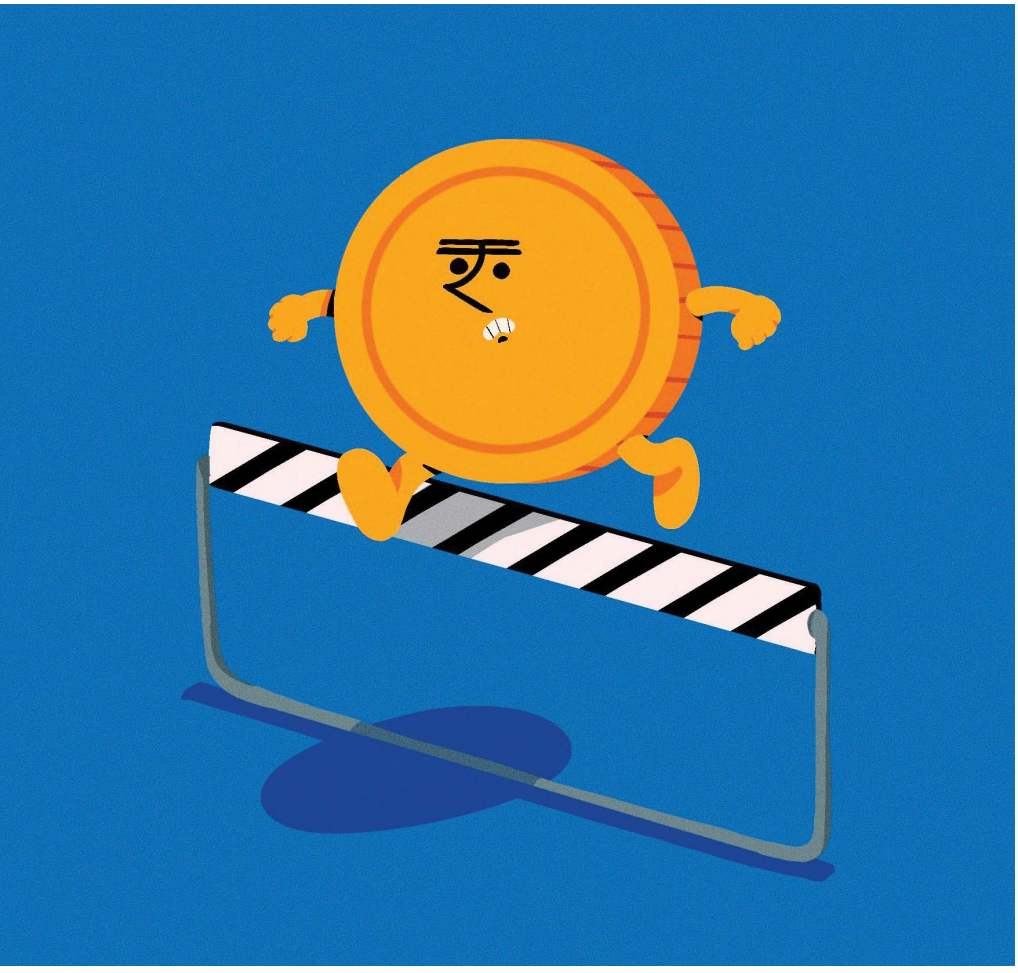
which is of importance to a lender. For a lender, your credit score is an indicator of whether you can repay the loan or not. And, your credit history is the record of how you have managed your credit accounts. Your credit history includes your current and past credit accounts, information about your loan repayment history and how much you owe lenders. Your credit score is arrived at based on these details and it helps to stay updated on any changes in the score.

Make it a habit to check your credit score regularly, so that you have control over your credit and your financial life. A low credit score is a cause of concern, but it's also an opportunity to rebuild your credit score in time. Likewise, a rise in credit score can tell you what actions have helped your scores go up for future reference. You will need your credit score to be good when you plan to borrow for, say, a house or a car. A high score allows you to negotiate a favourable interest rate and also gives confidence to the lender about your repaying capability.

NO MATTER WHAT AREA OF YOUR LIFE YOU'RE TRYING TO IMPROVE, THERE NEEDS TO BE A SHARP FOCUS ON BREAKING BAD HABITS AND FORMING GOOD ONES



HABIT 5

DON'T BUY WHAT YOU CAN'T AFFORD

Credit is an amazing thing when you are buying something big, like a house or a car. Very few people have several lakhs of rupees to buy a home with their savings. So, for these kind of purchases, borrowing makes immense sense. Adopting good financial habits means avoiding schemes that stretch your pay cheque. Any stretch on your pay cheque has an impact on your other financial plans and habits. Credit cards are probably the most common way of stretching your finances, followed by personal loans for that instant gratification.

Develop the habit of using credit prudently. Use cards that will enhance the purchase value, for instance co-branded and loyalty cards with cashback options make purchase through such cards value for money. Remember to borrow only as much as you can return. It is easy to lose control while using easy credit, only to realise later the high cost of servicing such loans. If you are servicing a loan, make sure you develop the habit to repay the loan in time and service the repayment in full.

HABIT 6

HAVE A COMPREHENSIVE EMERGENCY FUND

There is a lot that we can learn from nature. When it comes to tricking yourself into saving more money, think like a squirrel. Squirrels bury nuts to prepare for winter; we, too, can squirrel away money in order to prepare for financial dry spells. Take the habit of saving for financial emergencies from squirrels—they crucially don't store all their bounty in one place. Inculcate the habit of having an emergency fund